

capital (VC) industry are very different from what is expected by the public markets,” says Manish Kumar, Co-founder of start-ups Grex and RealX.

“This incompatibility between expectations of public and private markets is a big challenge for many start-ups, which have been groomed differently and find themselves as fish out of water post listing. Those who were prepped up to be listed are now in no-man’s land and therefore they are having to do the down rounds,” adds Kumar.

This does not come as good news for the start-up ecosystem and, more importantly, the investor community, as listing was an attractive exit route for many smart institutional investors.

Incidentally, there have been trading sessions when the drubbing of start-ups has been on account of selling pressure by some of the pre-IPO shareholders or anchor investors—Zomato being a clear example.

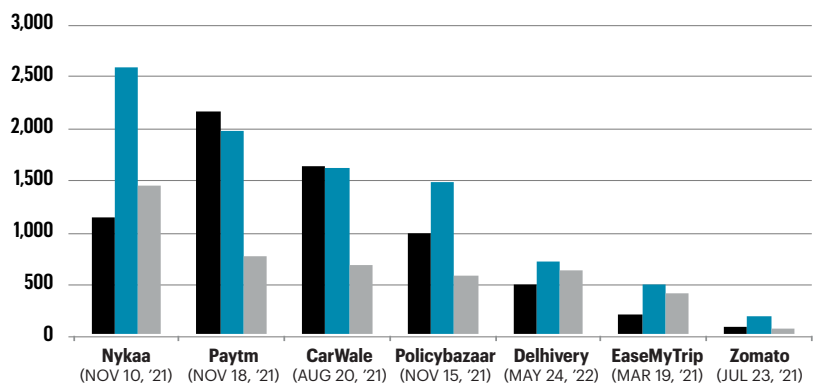
Experts, meanwhile, do not expect any significant change in the way public markets view start-ups, and believe that the focus would shift to ventures that may not be well-known but are still doing strong business and may be showing signs of profitability.

According to Kumar of RealX, one important factor for the lacklustre performance of digital platforms in the stock market is the manner in which the traditional public markets analyse companies.

“Public markets expect companies to be profitable. Being a tech start-up is no ruse to not be profitable. All the FAANG companies are valuable because they are high tech as well as profitable. These tech bellwether companies also take a beating when they lose revenue traction. Also note that in almost every sector there will be other start-ups that may be smaller because they may

THE FALL AND THE PAIN

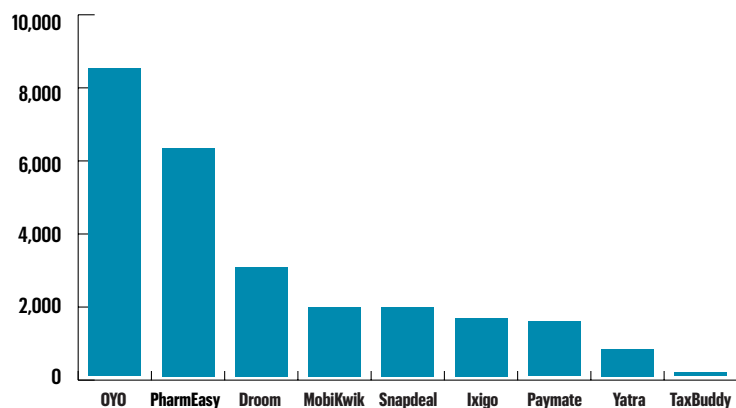
While shares of firms like Paytm, Policybazaar and Zomato have dipped from their issue price, Nykaa, Delhivery and EaseMyTrip have gained



● ISSUE PRICE (₹) ● 52-WEEK HIGH (₹) ● CMP (₹); FIGURES IN BRACKETS INDICATE LISTING DATE; CURRENT MARKET PRICE (CMP) AS OF AUGUST 2; SOURCE BSE, NSE

ROBUST IPO PIPELINE

Some big names such as OYO and Yatra have filed draft IPO documents with markets regulator Sebi



ISSUE SIZE IN ₹ CRORE; SOURCE PRIME DATABASE

not have raised oodles of capital but are running profitable operations as a tight ship. We must encourage such companies to grow and get listed to show the way,” says Kumar.

One thing’s for sure. Going forward, start-ups are going to look at the public markets much more seriously and not enter only to get listing benefits or the visibility that comes by going public.

What the strong lobby of private equity and VC players does in order to get attractive exits is an altogether different story, though. But these recent devaluation events have certainly brought in some level-headedness in the overly exuberant start-up funding and listing space, say experts tracking the sector. **BT**

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